Lead Broker Blueprint

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Module 7

Starting from Zero

What this module does

Module 7 is the honest readiness assessment and the 90-day decision framework. It applies everything in Modules 1–6 to the question of whether this is the right business for you to start, and if so, how to sequence the first 90 days.

This is NOT a "10 steps to success" module. The honest version teaches buyers to ask themselves the right questions — including the questions that lead to "no, this isn't right for me." Better to walk away early than to spend $30k discovering you didn't really want this business.

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Module 7 overview

Seven lessons:

- 7.1 Honest readiness assessment.
- 7.2 Capital scenarios — $1k, $5k, $15k, $50k starting budgets.
- 7.3 The buyer-first sequencing.
- 7.4 Time to first revenue under various scenarios.
- 7.5 Validation before commitment.
- 7.6 Common failure modes — and how often they happen.
- 7.7 When to walk away.

Three deliverables: a 90-day decision framework worksheet, validation experiment templates, and a failure-mode checklist.

Lesson 7.1 — Honest readiness assessment

> **Learning objective**
> Self-assess across six dimensions: capital, time, relevant skills, network, geographic flexibility, and licensure willingness. Produce a score you can honestly defend.

The six dimensions

These mirror the Module 2 niche evaluation worksheet but applied to you, not to a vertical:

1. Capital. How much money you can commit before needing revenue. Be honest. "What I'd like to have" is a different sentence from "what I actually have."
2. Time. Hours per week, sustainable over 6+ months. Not the hours during a launch sprint.
3. Relevant skills. Paid search, paid social, SEO, outbound B2B, sales, vertical domain expertise. Most newcomers have one or two of these; few have all.
4. Network. Existing relationships in any vertical that could become first-customer conversations. Warm intros are worth a great deal more than equivalent dollars of paid acquisition.
5. Geographic flexibility. Tied to a single metro, state, region, or national-flexible. Local-services and many home-services niches reward geographic focus.
6. Licensure willingness. Insurance requires state licensing; mortgage requires NMLS; healthcare adds HIPAA. Not all verticals are open to operators unwilling to obtain licensure.

Scoring

Score yourself on each dimension; check what aligns. The output is not a number — it's a list of constraints. The constraints determine which verticals from Module 2 are actually open to you.

Hypothesis: *the author's read of operator commentary is that newcomers who honestly score the six dimensions and pick verticals that match almost always do better than newcomers who pick the vertical they want and then try to acquire the missing inputs. The latter pattern is almost always a way to lose time and capital. Hypothesis, not tested claim.*

On-camera summary

Six dimensions of readiness. Score yourself honestly; the constraints determine which verticals are open. The 90-day worksheet (Module 7 deliverable) operationalizes the assessment.

Sources

- Module 2 niche evaluation worksheet (parallel framework applied to verticals).

- Operator commentary on newcomer failure modes (LeadsCon, LeadsCouncil, lead-gen podcasts).

Lesson 7.2 — Capital scenarios

> **Learning objective**
> Calibrate what's realistic at $1k, $5k, $15k, and $50k starting budgets. Identify which verticals each capital level locks you out of.

Four scenarios

$1,000

Realistic at this level: not much paid acquisition. The path is some combination of: outbound (LinkedIn, cold email) at zero hard cost; SEO building (slow but free of marginal cost); leveraging existing relationships in a vertical for the first 1-2 buyer conversations. Tooling is at the absolute minimum (Carrd at $19/year, Pipedrive at $15/seat, manual lead routing). Probably no consent vendor; this constrains which buyers you can sell to.

Verticals open: small B2B niches, local-services with existing relationships, narrow specialty consumer (e.g., pet services, specialty cleaning). Verticals not open: anything requiring paid search at scale, insurance (compliance and licensing cost alone exceed $1k), most legal.

$5,000

Realistic at this level: very small paid-acquisition tests ($500-1,500); a starter tooling stack with consent capture ($150-300/mo); enough runway to fail two or three test campaigns and adjust. Likely able to validate a vertical hypothesis and produce a small starter inventory.

Verticals open: most local home services (HVAC, plumbing, pest control, small remodeling), family law and bankruptcy in specific metros, med spa or dental in specific metros, B2B (LinkedIn outbound and SEO). Verticals still not open: PI in major metros (CPCs exceed budget by 10x), insurance, mortgage at meaningful scale.

$15,000

Realistic at this level: meaningful paid acquisition over 2-3 months in a chosen vertical; the operator's first VA hire if part-time intake is needed; runway to absorb mistakes. The point at which a serious validation campaign is feasible.

Verticals open: most home services at metro level, family/bankruptcy/immigration legal, mortgage purchase in select states, B2B SaaS demand-gen, healthcare cash-pay practices. Verticals still constrained: PI in major metros, large-carrier insurance, mass tort.

$50,000

Realistic at this level: a 4-6-month runway with a real paid-acquisition program; meaningful tooling stack; perhaps a part-time media buyer or full-time VA. Real shot at building a sustainable operation in any vertical Module 2 covered.

Verticals fully open. Note: $50k is still small at PI in major metros (Atlanta, Houston, LA) where you'll burn it learning the keywords. But $50k targeted at family law in Phoenix or HVAC in Charlotte is meaningful capital.

On-camera summary

Capital determines which verticals are open. $1k is a relationship-and-outbound budget; $5k is a starter validation budget; $15k is a serious validation budget; $50k is enough to attempt most verticals at modest scale. Match the capital to the vertical, not the other way around.

Sources

- Module 2 (vertical capital requirements).
- LeadsCon and LeadsCouncil operator surveys on starter capital.

Lesson 7.3 — The buyer-first sequencing

> **Learning objective**
> Articulate why most failed lead-gen businesses generated leads before having buyers, and design a buyer-first sequencing that lands 2-3 starter contracts before meaningful traffic spend.

Why buyer-first

The newcomer mistake — repeated in operator post-mortem after post-mortem — is to spend $10-30k on traffic to produce a batch of leads, then look for buyers. The math problem: the operator doesn't yet know what specifications buyers want, what price they'll pay, what return reasons they'll cite, or whether the lead format they're producing matches anything actually purchased in the vertical. The first batch of leads almost always doesn't match the buyer's actual needs; the capital is lost in the learning.

Buyer-first means: have 2-3 signed (or at least committed-in-writing) buyer relationships before you spend serious money on traffic. The buyer conversations tell you exactly what to produce.

How to actually do it

7. Pick a vertical from your Module 2 short list.
8. Find 20-50 prospective buyers in that vertical and your geography. Sources: LinkedIn, vertical-specific directories, conference attendee lists, your network.
9. Reach out using the Module 4 buyer-side conversation scripts. Goal of the conversation is not to close a deal — it's to learn: what does this buyer pay per lead, what specifications do they care about, what would make them try a new vendor, what's missing in their current supply?
10. After 10-15 conversations, you'll have a clear picture of buyer-side demand: prices, specs, exclusivity preferences, return policies, payment terms, what "qualified" means in their world.
11. Find 2-3 buyers willing to commit (verbally or in writing) to evaluating a small sample batch. Sample size: 5-15 leads.
12. THEN spend a focused $500-1,500 on traffic targeted at producing exactly the specifications those committed buyers want. Deliver the sample. Iterate.

On-camera summary

Buyer-first sequencing. Have 2-3 buyer commitments before you spend serious money on traffic. The buyer conversations themselves are the validation that the vertical is workable; the traffic spend is the second step, not the first. Operators who skip this step almost always pay for the lesson with their first $10-30k of capital.

Sources

- Module 4 — buyer-side conversation scripts.
- Operator post-mortems published at LeadsCon and in the LeadsCouncil community.

Lesson 7.4 — Time to first revenue under various scenarios

> **Learning objective**
> Set honest expectations on time-to-first-revenue by sequencing choice and vertical. No promises; ranges drawn from operator commentary.

Buyer-first sequencing

- Vertical with strong existing relationships (e.g., HVAC operator with 5 contractor friends): 4-8 weeks to first revenue.
- Vertical with no relationships but accessible buyer pool (family law, small HVAC contractors): 2-4 months to first revenue.
- Vertical with high procurement bar (insurance, large legal): 4-9 months to first revenue, often longer.

Generator-first (paid)

- Paid search to a starter vertical: 30-60 days to first leads, but 60-120 days to first reliable buyer revenue (because of the buyer-side ramp).
- Paid social: similar timeline, with more creative-iteration variance.

Generator-first (organic)

- SEO: 6-12 months to meaningful traffic; 9-18 months to meaningful revenue.
- Content marketing: similar to SEO; compounds slower.

Failure modes by sequencing

What operators say: *buyer-first sequencing fails most often when the operator cannot land any buyer conversations and gives up. Generator-first (paid) fails most often when capital runs out before the conversion-rate-and-buyer-match learnings produce profitable economics. Generator-first (organic) fails most often when the operator runs out of runway before SEO matures — 18 months without revenue is a long time. Each sequencing has a characteristic failure; pick the one whose failure you're most able to absorb.*

On-camera summary

Honest ranges, not promises. Buyer-first with existing relationships is fastest; generator-first organic is slowest; generator-first paid is medium-pace with the highest capital risk. No path produces revenue in week one for a newcomer; plan for it.

Sources

- Operator commentary on time-to-first-revenue across the lead-gen podcast and conference content.
- LeadsCouncil annual newcomer-cohort survey.

Lesson 7.5 — Validation before commitment

> **Learning objective**
> Design a $200-2,000 validation experiment that produces a clear go/no-go signal before committing to a vertical for a full year.

The principle

Validation is not the same as starting the business. Validation is a small experiment whose only goal is to test a specific hypothesis: that this vertical, in this geography, with this traffic source, can produce leads buyers will pay for at the prices you're targeting. The experiment has a written decision rule (go / no-go) written BEFORE you start. After the experiment, the decision is mechanical: did the result meet the rule, or not?

Three workable validation patterns

Pattern A — Small-budget Google Ads test

Budget: $500-1,500. Run paid search to a starter landing page in your target sub-vertical and geography for 14-30 days. Measure: cost per qualified lead vs. expected sale price. Decision rule: if your CPL is below [target sale price × 0.6], proceed. If above, walk away or pivot.

Pattern B — Buyer-side validation through conversation

Budget: ~$100 in time and tools (LinkedIn Sales Navigator trial, perhaps). Have 10-15 conversations with prospective buyers using the Module 4 scripts. Measure: how many buyers express willingness to evaluate a sample? What prices do they cite? What specs do they emphasize? Decision rule: 3+ verbal commitments to evaluate a sample batch = proceed to small paid test.

Pattern C — Manual lead production

Budget: ~$200-500 in time and minimal tools. Manually generate 5-10 leads by whatever method works (outbound, organic social, manual qualification of free-channel inquiries) and offer them to 2-3 prospective buyers at a target price. Measure: what's the buyer's reception of the sample? Will they pay? What changes would they want? Decision rule: if buyers will pay [target price] for the sample, proceed; if not, what's the gap and is it closable?

On-camera summary

Validation is a small, time-boxed experiment with a written decision rule. Three workable patterns. Spend $200-2,000, not $10-30,000, to find out whether the vertical works for you. The Module 7 validation experiment templates (deliverable) make this concrete.

Sources

- Module 2 niche evaluation worksheet (the validation-plan section).
- Eric Ries / Lean Startup methodology (general validation framework).

Lesson 7.6 — Common failure modes — and how often they happen

> **Learning objective**
> Recognize the six failure modes that account for most newcomer attrition, and the rough base rates operators report.

Six failure modes

13. Buyer churn. The buyer relationship ends within 30-90 days because lead quality didn't meet the buyer's intake operation. Most common cause: misalignment between qualification criteria spelled out in the LPA and what actually arrives.
14. Traffic-cost inflation. CPCs rise on paid search or paid social through the campaign's life. Common in competitive verticals (PI, mortgage refi during purchase environment); operators with thin starting margins are squeezed first.
15. Regulatory shifts. A regulatory change (e.g., the FCC one-to-one saga, FTC Reviews Rule, state privacy law) shifts what's permissible or required. Operators who didn't track regulation get caught.
16. Exclusivity demands. A growing buyer requires exclusivity (or wider exclusivity) than the seller can sustain inventory-wise. Forces the seller to choose between losing the buyer and losing supply.
17. Payment-terms breakdown. Buyer extends payment timing (net 30 → net 60 → net 90) or disputes invoices aggressively. Cash flow breaks; seller can't sustain working capital.
18. Founder burnout. Solo founder runs sales, intake, ops, and compliance personally for too long. Quality degrades; relationships drift; the operator quits before the math could have worked.

Base rates

Industry literature suggests roughly 60-70% of small lead-gen operations do not survive year two — the conventional range cited in trade publications. The single most common cause is some combination of failure modes 1 (buyer churn) and 5 (payment timing breakdown). Failure mode 6 (founder burnout) is under-cited because operators rarely write post-mortems blaming themselves; the more common public attribution is to "the market" or "the platform."

On-camera summary

Six failure modes; roughly 60-70% of small operations don't survive year two. The most common patterns are buyer-churn / payment-timing, traffic-cost inflation, and founder burnout. Recognize the patterns; defend against them deliberately.

Sources

- LeadsCouncil operator-cohort survival data (annual surveys).
- Operator post-mortems published in LeadsCon archives and in the trade publications.

Lesson 7.7 — When to walk away

> **Learning objective**
> Recognize the signs that the vertical is wrong, the timing is wrong, or you're not the right person for this business. Give yourself permission to quit early without sunk-cost fallacy.

Three categories of walk-away signal

Signs the vertical is wrong

- Validation experiment (Lesson 7.5) consistently fails: leads cost more than they can sell for; buyers won't commit; specifications don't align.
- Regulatory friction is harder than expected: counsel cost or licensing requirements you didn't budget for.
- Buyer pool is more concentrated than expected: 1-2 buyers control demand, and they won't work with you.

Signs the timing is wrong

- Vertical-specific cycle is against you: refi market in high-rate environment; solar after policy change; mass tort after settlement; insurance during underwriting losses.
- Your personal capacity is wrong right now: family, health, full-time job, or other constraints that mean 25 hours/week isn't sustainable.
- Capital is too thin: you're in the $1-3k tier and trying to operate in a vertical that needs $10k+ to validate.

Signs you're not the right person for this business

- You consistently dread the buyer-side conversations. The business is sales-heavy; if cold outreach feels like an unbearable chore six months in, the math doesn't change.
- You consistently dread the compliance work. The business is regulation-heavy; if the third quarterly compliance review feels like a punishment, this isn't the right business.
- You consistently dread the media-buying work. The business is paid-acquisition-heavy in most paths; if optimizing Google Ads bores you, you need a partner who likes it (or a different business).

The permission

Quitting early is not failure. It's failure-prevention. Operators who quit at month 4 when the validation failed are operationally indistinguishable from operators who never started — except that the former

know what they don't want to do. That's a $500-5,000 lesson, paid once. The operators who sunk $30,000 and 9 months into a vertical that wasn't going to work paid the same lesson at 10x the price.

Set the decision rule in advance (Lesson 7.5 covers this). When the rule fails, take the answer at face value. Do not extend the experiment another month "to see what happens" without writing a new, specific rule.

On-camera summary

Three categories of walk-away signal: the vertical is wrong, the timing is wrong, you're the wrong person for this business. Each is legitimate. Quitting early, on a written rule, is not failure — it's the system working as designed.

Sources

- Operator commentary on sunk-cost fallacy and exit decisions in lead generation.
- Annie Duke, "Quit" (general decision-making reference; not lead-gen-specific).

Module 7 wrap-up and what's next

You've now covered the honest readiness assessment, the four capital scenarios, buyer-first sequencing, time-to-first-revenue ranges, validation methodology, common failure modes, and the walk-away signals. The three deliverables operationalize the module.

What Module 8 covers

Module 8 is the closer: where to go next for deeper learning on any specific topic. Industry publications, podcasts, conferences, communities, key people to follow, books and longer-form resources, and how to keep up with regulation. After Module 8, you have a complete primer plus a forward-looking resource library to keep building from.

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